The years from 2003 to 2007 saw a restoration of balance in the fiscal relationship between the Centre and the states, most prominently in the matter of debt financing and managing debts.

Marching Towards Fiscal Unionism Again

Tax, grants and debt are the principal elements around which the fiscal relationship between the Centre and the states is built. The broad thrust of these relationships defines whether we have a true fiscal federalism (the Centre and the states functioning in balance, with no one dominating the other), a fiscal unionism (one level, usually the Centre, dominating the other), or fiscal competitiveness (both remaining in competition for resources).

Developments in the past few years, most notably in the last two years, indicate that the fiscal relationship is headed towards fiscal unionism again.

The GST reforms in 2017 transformed the fiscal relationship between the Centre and the states substantively in the matter of taxation power-sharing. The basic structure of separate taxation powers has been effectively substituted by a shared taxation system for the bulk of indirect taxes. The power to tax a good or service and decide the rate of tax for each item was transferred to the GST Council. A common tax collection and transfer system—the GST Network (GSTN)—has been created.

In the new architecture of GST tax, the states gave up the right to levy tax, determine the rate of tax, collect tax and grant concessions on taxes. The states accepted this big change in the larger national interest to create ‘one nation with one tax system’.

The GST system was expected to have a different impact on different states. Many states stared at the face of losing the revenues they were earning under the VAT system. Rising above narrow state-specific interests, they signed up for a common GST taxation system on the solemn assurance of the Centre, which was constitutionally and legislatively backed, that, for